



IRL & ERL

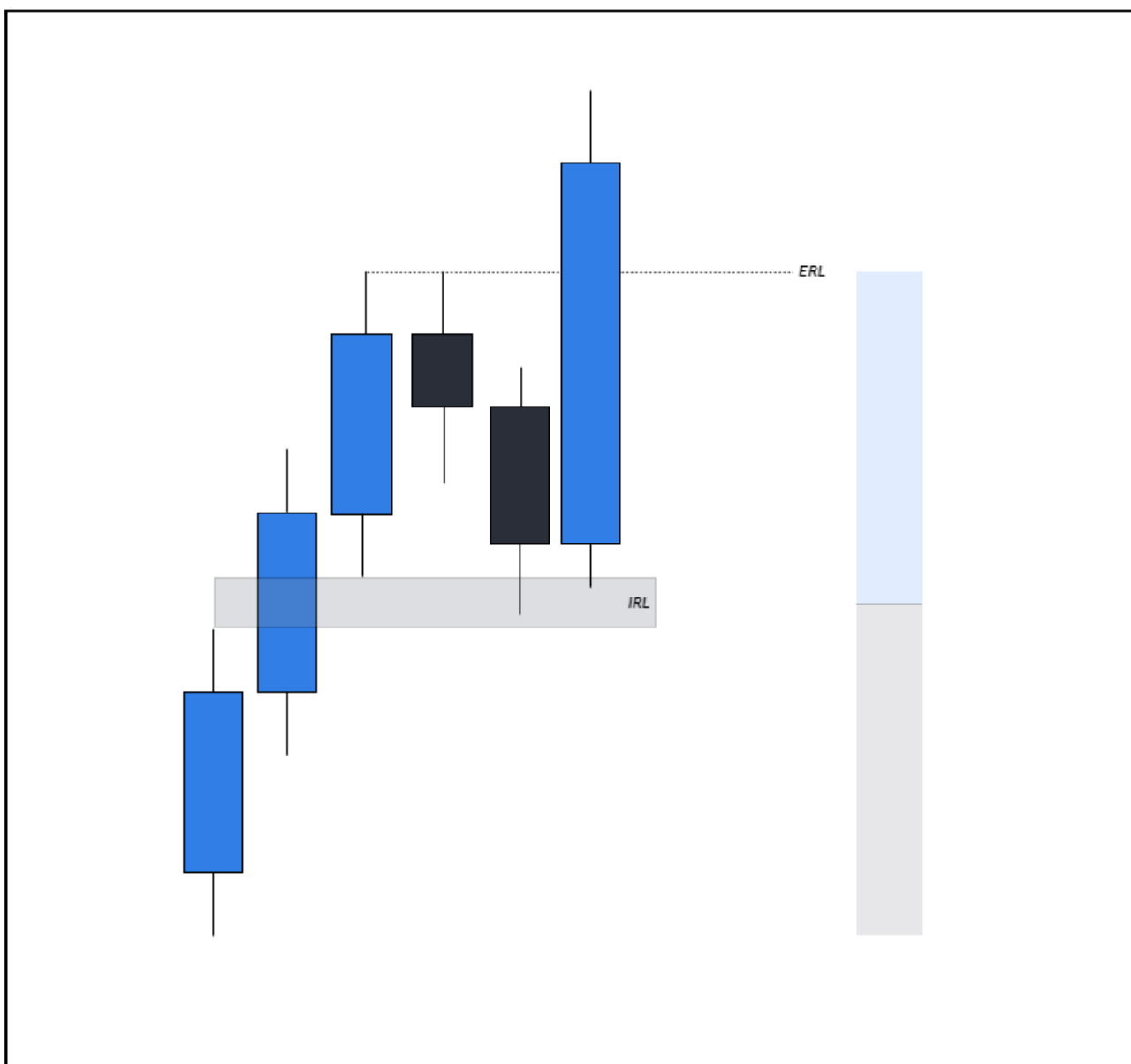
How the market books.

INTRODUCTION

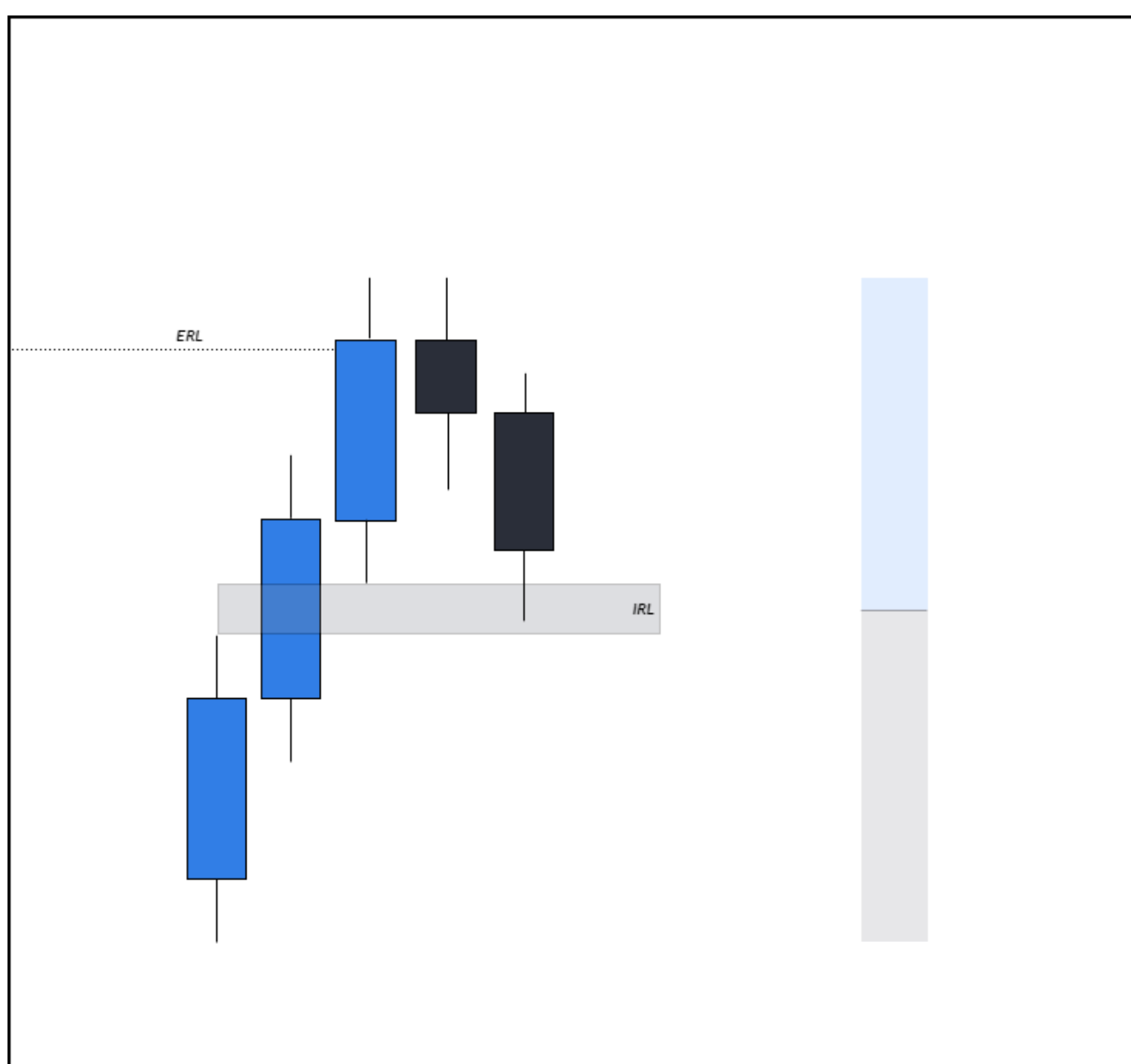
Internal Range & External Range Liquidity



IRL TO ERL



ERL TO IRL



WHAT IT IS

IRL is Internal Range Liquidity, and ERL is External Range Liquidity. To simplify things we can look at IRL as Fair Value Gaps and ERL as Highs and Lows.

SIGNIFICANCE

The significance lies within how IPDA operates. The market is in a never ending cycle of alternating between Internal and External Range liquidity. You may have also heard of this as the market only rebalances inefficiencies or reaches for liquidity. We use IRL & ERL to simplify this concept.

APPLICATION

The greatest way to apply this concept is to utilize it on the HTFs and time based liquidity. This includes, but is not limited to, the Monthly, Weekly, and Daily charts. Ask yourself, has price tapped into a Fair Value Gap or has price taken out liquidity? Your next draw is most likely the one that hasn't been tapped into yet. Internal -> External & Internal -> External. Rinse and Repeat.

EXAMPLES

Internal Range & External Range Liquidity

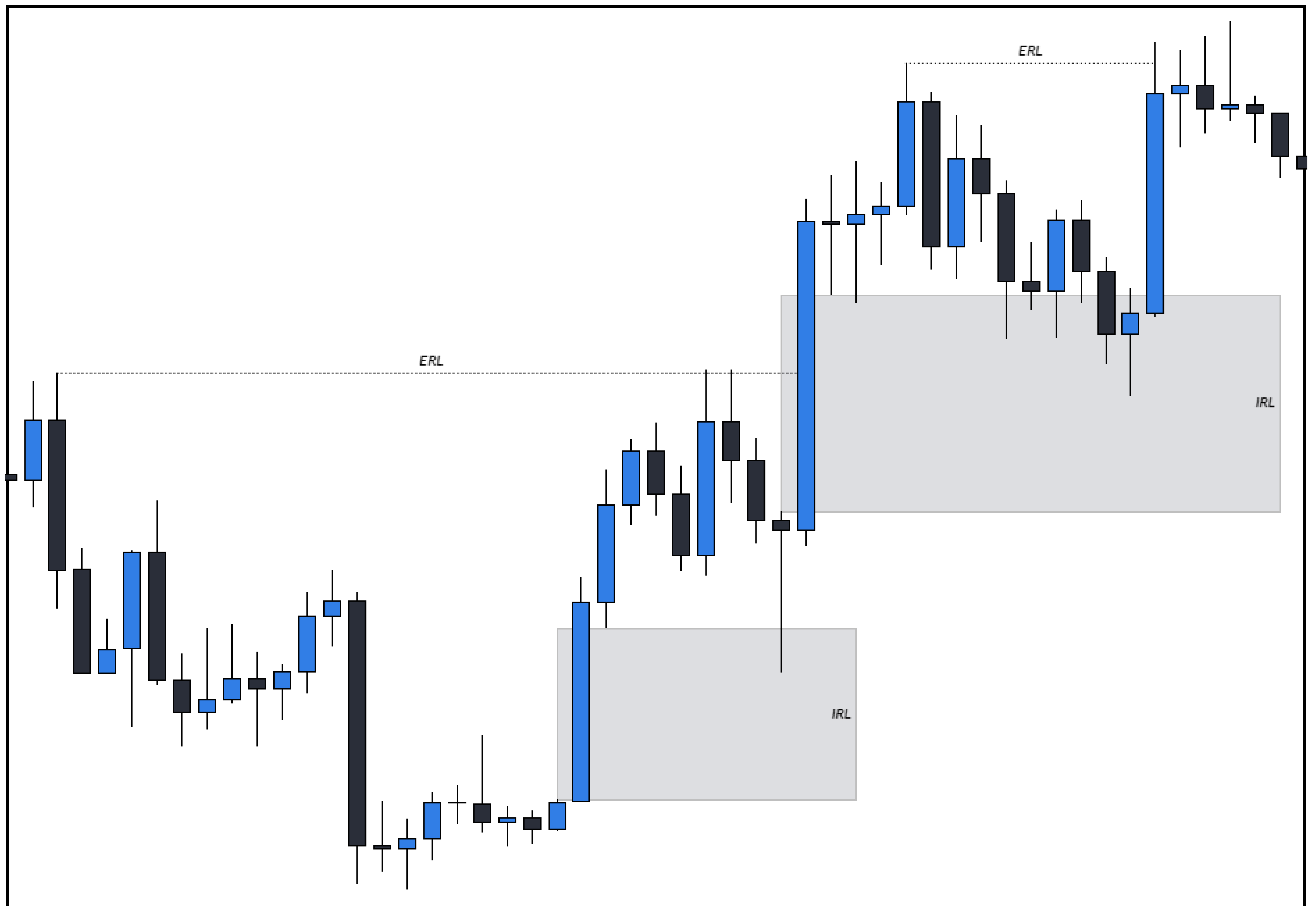


EXAMPLE 1

In this first example we are taking a look at the Weekly chart of BTCUSD.

From this example we can observe how price bullishly moves from 'IRL' to 'ERL' and repeats the cycle.

The key to spotting reversals from IRL & ERL is to use the higher time frames as well as SMT Divergence. A great tool to be aware of is Premium & Discount ranges. We generally want to sell in a premium and buy at a discount.



EXAMPLES

Internal Range & External Range Liquidity

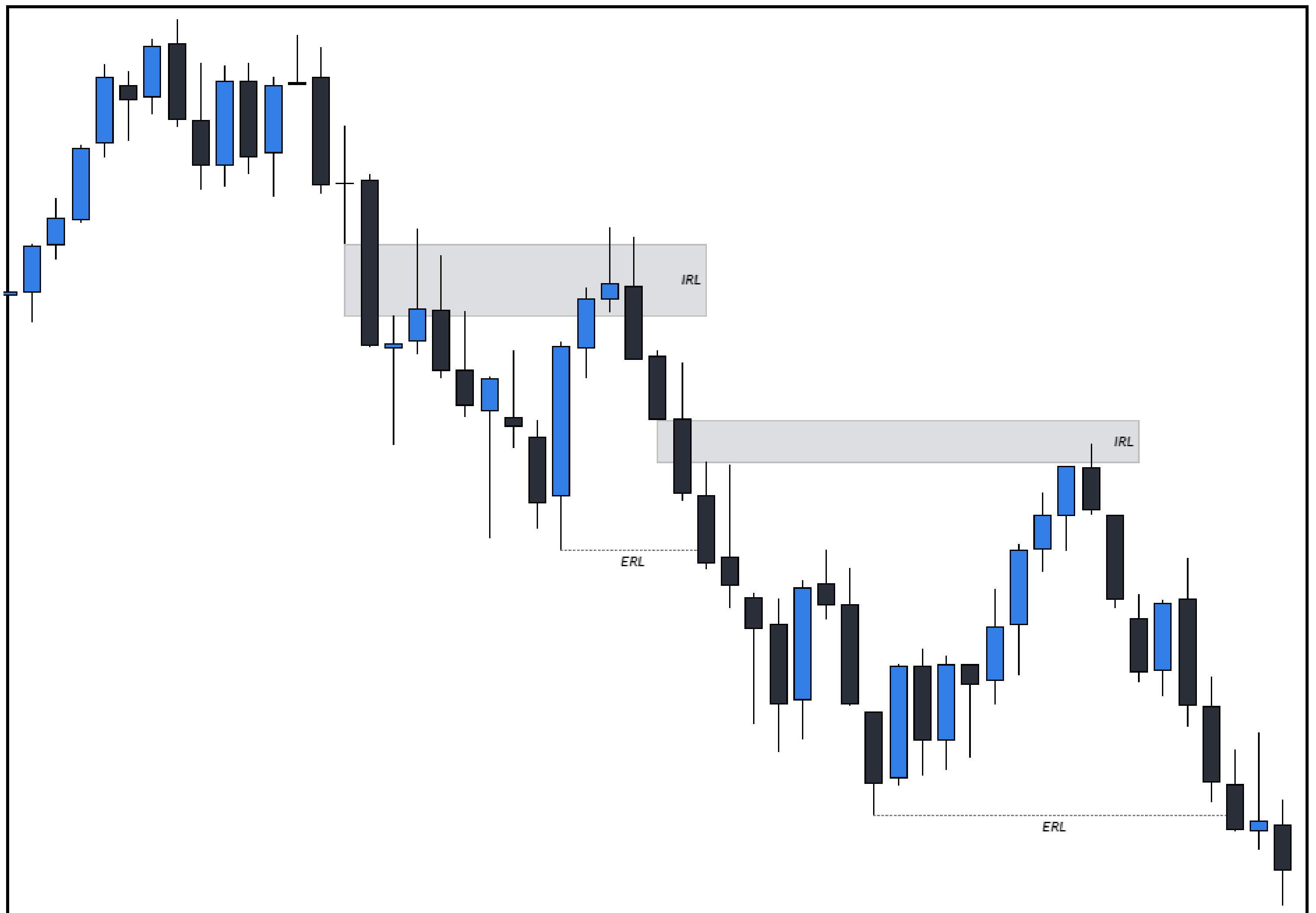


EXAMPLE 2

In this first example we are taking a look at the Weekly chart of NQ1!.

From this example we can observe how price bearishly moves from 'IRL' to 'ERL' and repeats the cycle.

The key to spotting reversals from IRL & ERL is to use the higher time frames as well as SMT Divergence. A great tool to be aware of is Premium & Discount ranges. We generally want to sell in a premium and buy at a discount.



ANNOTATIONS

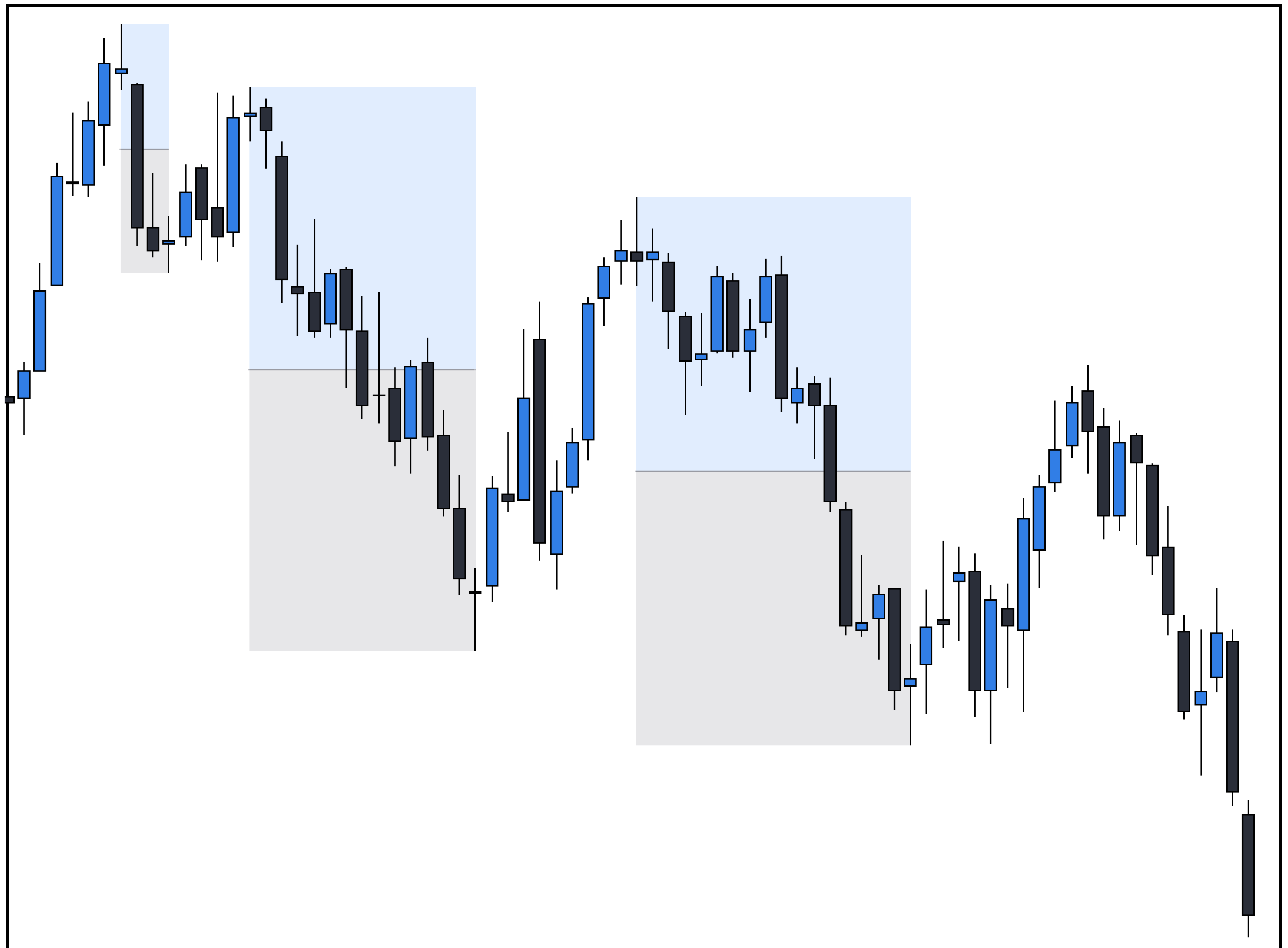
Internal Range & External Range Liquidity



HOMEWORK 1

Take a look at this blank chart of NQ1! and mark out where the Internal Range & External range liquidity is.

(The answer will be in the following pages)



ANNOTATIONS

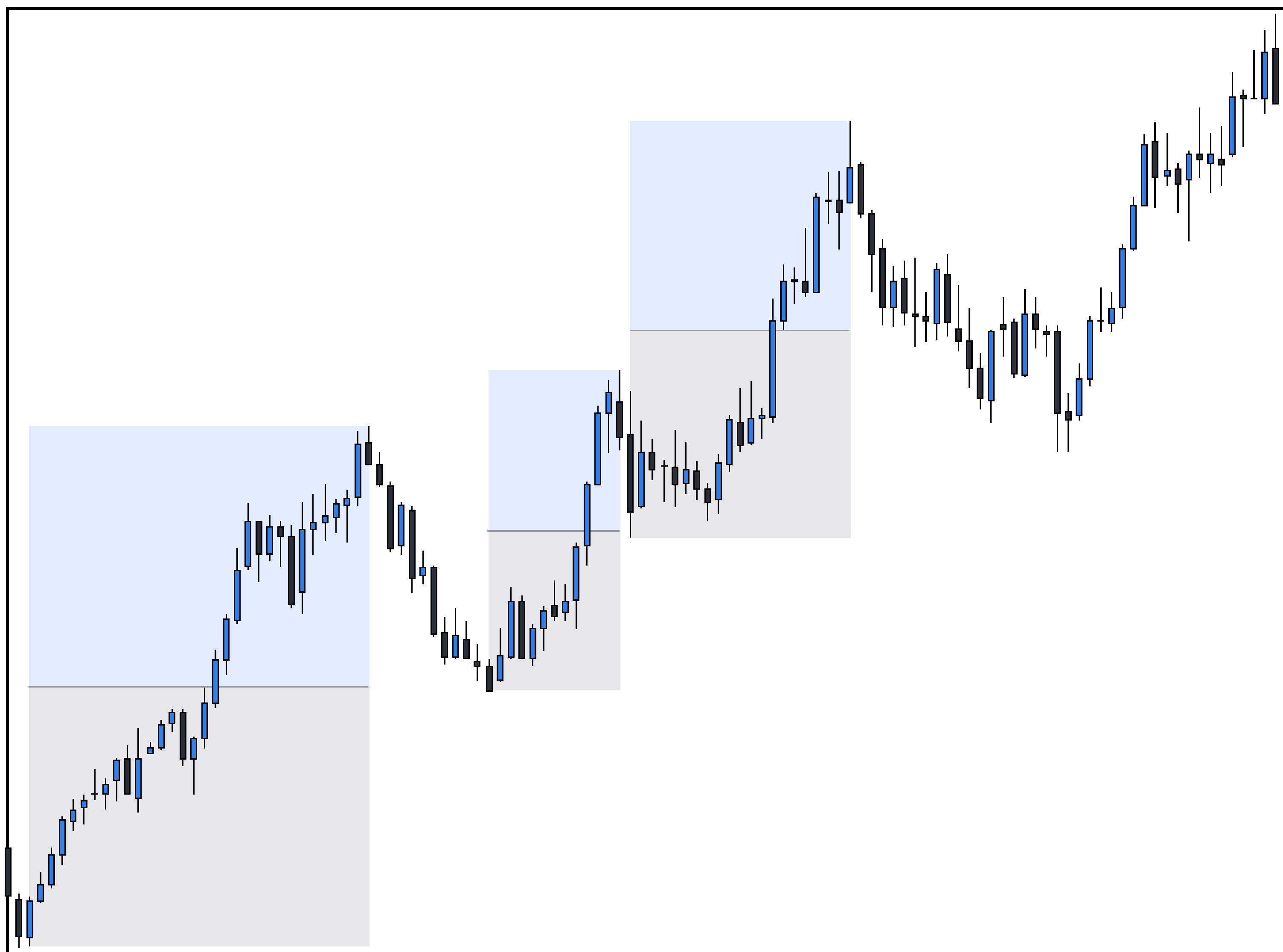
Internal Range & External Range Liquidity



HOMEWORK 2

Take a look at this blank chart of DXY and mark out where the Internal Range & External range liquidity is.

(The answer will be in the following pages)

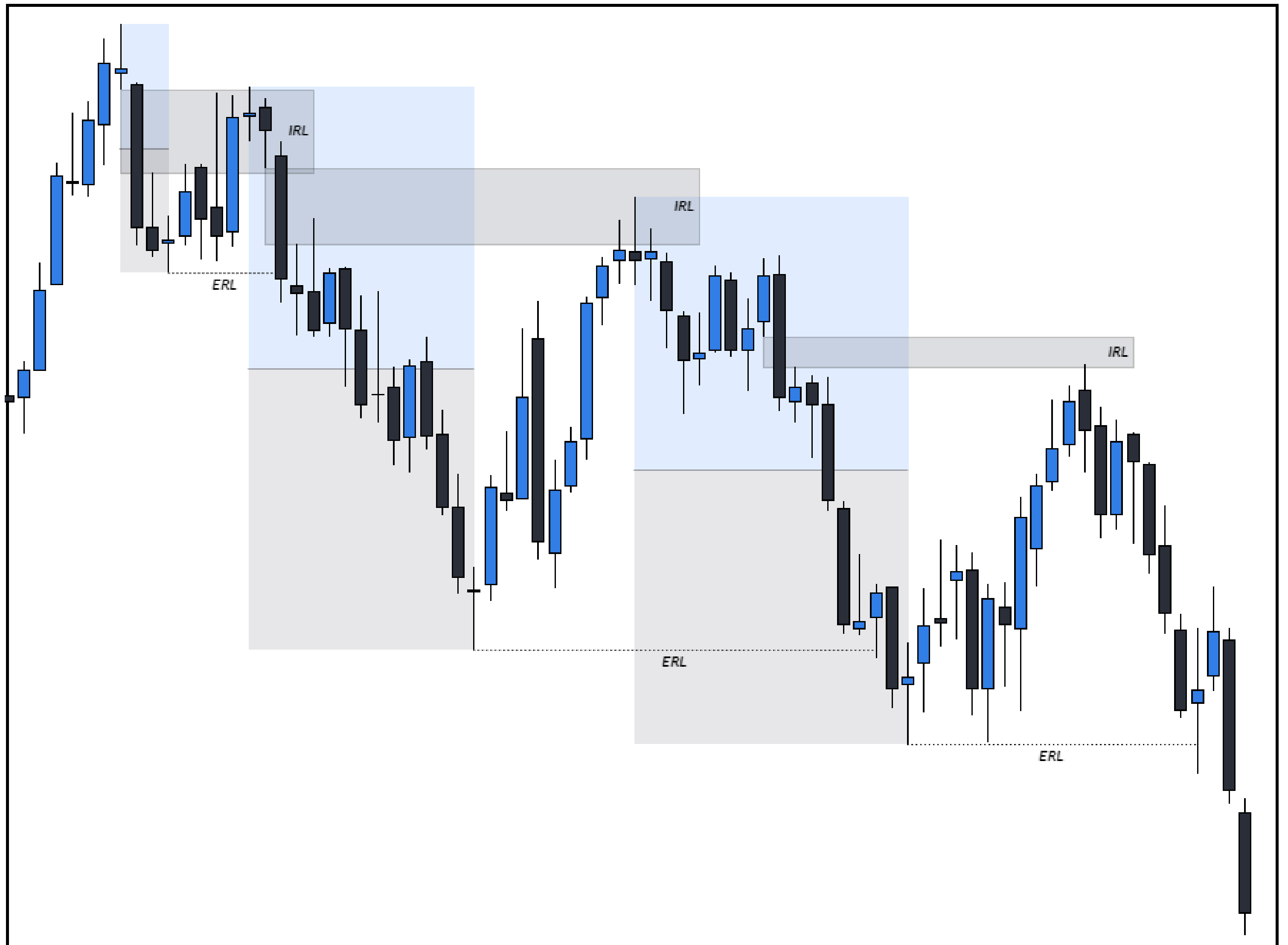


ANSWERS

Internal Range & External Range Liquidity



HOMEWORK 1 ANSWER



ANSWERS

Internal Range & External Range Liquidity



HOMWORK 2 ANSWER

